China Debt Dynamics

Into the Shadows of US Private Credit: A China Perspective

ShoreVest
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As we observe the booming US private credit market from our perch here in China, we see multiple striking parallels with China's shadow banking system, which ballooned by trillions of dollars before 2017. Between 2017-2018 Beijing clamped down on the space, due to clear systemic risks. In contrast, despite US private credit's steadily expanding scale and weakening fundamentals, the US seems to be taking little action to mitigate the potential systemic risk.

In this issue of China Debt Dynamics, ShoreVest would like to share our full white paper on this topic, available here:

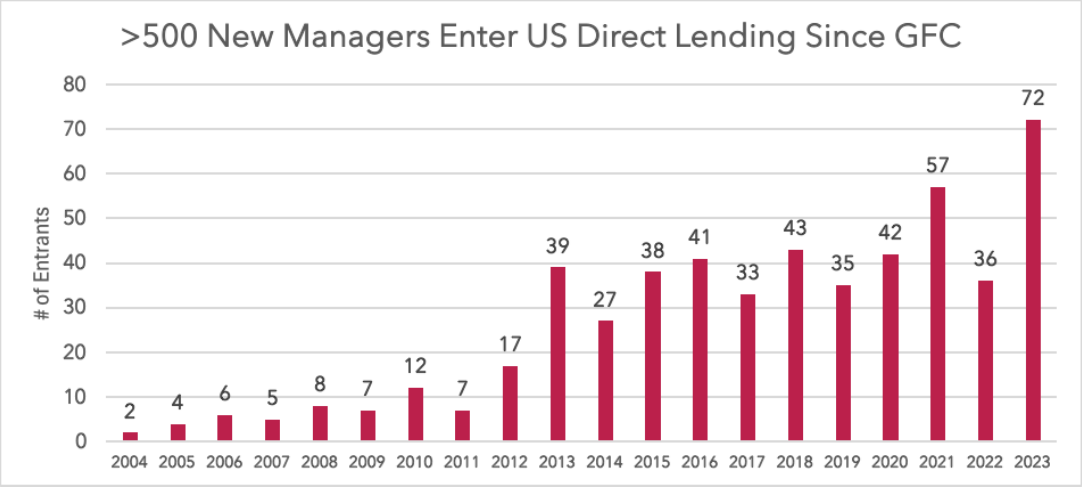
"Into the Shadows of US Private Credit: A China Perspective"

In the white paper, we elaborate on one thing we think is clear: Explosive growth in unregulated US private credit is metastasizing systemic risks. On the other hand, China continues to regulate its shadow banks, creating opportunities for institutional private credit. Several additional "Key Takeaways" from the white paper are as follows:

- *Overview* – The current US private credit market mirrors the pre-pandemic China shadow banking space in various ways, as seen in the table below:

	China pre-pandemic shadow banking	US post-pandemic private credit / shadow banking	China regulatory or investor-imposed restraint?	US regulatory or investor-imposed restraint?
Trillions of USD AUM growth in a few years?	Yes	Yes	Yes	TBD
Use of leverage dramatically increasing?	Yes	Yes	Yes	TBD
Commercial banks indirectly exposed to risk?	Yes	Yes	Yes	TBD
Insurance companies indirectly exposed to risk?	Yes	Yes	Yes	TBD
Large amounts of retail investor capital raised?	Yes	Yes	Yes	TBD

- *Lengthening Shadows* – The rapid growth, in number and size, of private credit funds in the US has resulted in issues with both deploying capital, and exiting investments or achieving distributions to paid-in capital (DPI).



- ***Darkening Shadows*** – Private credit in the US is seeing deteriorating protections (lighter covenants, less/no collateral, more leverage, synthetic liquidity), which raises the question of just how protected the product is, particularly if the US has a downcycle (when over 95% of US direct lending managers weren't around during the last downturn).

- ***Interconnectedness in US Private Credit Enhances Systemic Risk*** – US banks and insurance companies are increasingly interconnected to the US shadow banking industry (via fund financing, investments, etc.), enhancing systemic risk.

- ***Lessons from China's Shadow Banking*** – To address systematic risk, China proactively cracked down on the entire shadow banking sector through a coordinated regulatory effort, prohibiting many of the exact things the US private credit market is doing.

- ***Regulatory Discipline Means Better Private Credit Opportunity*** – Proactive regulation fosters investment discipline among market participants and distinguishes astute investment/risk managers (such as ShoreVest) from newcomers or non-institutional players. This also produces a tighter credit environment where the few private credit participants that remain can structure better downside protections in their investments.

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